INSTITUTIONAL EQUITY RESEARCH / EVENT-DRIVEN REFRESH

Uber Technologies

UBER · Q3 2026 Post-Earnings Re-underwrite

Research view: STAGED ADD | Conviction: 8 / 10 | Base DCF: $96 | Evidence: Q3 results + call

Improved earnings power. Mobility execution remains the next test.

Twenty percent bookings growth, a 38% rise in non-GAAP operating income, and $10.4B of trailing free cash flow support the thesis. Mobility supply constraints, M&A-related financing, and unproven autonomous-fleet economics argue for disciplined entries rather than chasing a post-earnings rally.

04 NOVEMBER 2026 | MARKET REFERENCE: $71.92 AT 11:52 A.M. ET (NOT A CLOSING PRICE) | RESEARCH ONLY

FIRST READ / RESEARCH CONCLUSION

Executive investment view

Gross Bookings	Non-GAAP EPS	Non-GAAP op income	Trailing 12M FCF
$59.82B	**$0.88**	**$2.30B**	**$10.4B**
+20% YoY	**+35% YoY**	**+38% YoY**	**~7.1% equity FCF yield**

Decision framework. Quality remains high; valuation appears favorable at roughly $72 with a five-year base equity-FCF DCF near **$96/share**. Research view remains **Staged Add (8/10)**, not an authoritative Portfolio CIO action. Preferred initial add zone **$65–72**; more aggressive entry **below $65** if thesis intact. Above **$80**, upside remains but margin of safety narrows. [S1] [S2] [S7]

What is new: Delivery growth and operating leverage remain robust; Mobility faced a 1–2 percentage-point execution miss vs management expectations; Q4 management guidance keeps bookings growth near 20% but some consensus vendors view EPS guidance as soft; AV commercialization is moving from partnerships to measured fleet deployments, with external financing still to be proven. [S1] [S2] [S3] [S8]

Separate dimensions: Company Quality 8.5/10 · Valuation Attractiveness 7.5/10 · Portfolio Fit: conditional until the v67 workbook is independently checksum-verified. The repository's v67 holdings derivative reports **97 UBER shares**; exact current weight is intentionally not asserted. [S10]

Contents

01 · What changed?
02 · Reported earnings and quality
03 · Mobility, Delivery, Freight
04 · Q4 outlook and Street bar
05 · Management call and debate map
06 · Cash flow and capital allocation
07 · Four-quarter financial trend
08 · Valuation and reverse DCF
09 · Bull / base / bear
10 · Portfolio fit and entry ranges
11 · Checkpoints and thesis breaks
12 · Sources and methodology

01 / What has changed since October 19 underwriting?

Factor	Previous underwriting / assumption	New observed evidence	Research impact
Gross Bookings	Q2 +22% CC; Q3 management range implied 18–22% CC	Q3 $59.82B, +20% CC; fifth consecutive 20%+ quarter	**Thesis intact**
Mobility	Q2 Mobility +20% CC	Q3 Mobility +17% CC; 1–2 pp shy of management expectation	**New checkpoint**
Delivery	Platform cross-selling and grocery upside	Q3 +23% CC; grocery & retail approx $15B annual run-rate, growing ~40% (call)	**Stronger proof**
Operating leverage	Q2 non-GAAP operating income +40%	Q3 +38%; margin 3.9% of bookings, up 50 bps	**Compounding confirmed**
FCF	Q2 trailing FCF $10.12B	Q3 trailing FCF ~$10.4B	**Improved support**
Autonomous	Potential $10B+ investment framework, partner bypass risk	700 driverless vehicles target for 2026, 2,000+ by end-2027; third-party financing intent	Execution clearer, returns unproven
Valuation	Oct. 19 equity research base/ scenario around $92–95	Fresh scenario base $96, weighted $96, updated FCF and discount assumptions	Similar base; higher clarity

CC = constant currency; research comparison refers to the private Oct. 19 UBER thesis registry, which is a working research record, not a Portfolio CIO decision. [S1] [S2] [S4] [S10]

02 / Earnings and quality of the print

Q3 2026 metric	Actual	Q3 2025	Assessment
Gross Bookings	$59.819B	$49.740B	+20%; aligned with prior $58.25–60.25B guide
Reported revenue	$14.766B	$13.467B	+10%; UK model change depressed growth by ~8 pp
Trips / MAPCs	4.061B / 215M	3.512B / 189M	+16% / +14%; frequency +2%
GAAP operating income	$1.447B	$1.113B	+30%; cleaner profitability confirmation
Adjusted EBITDA	$2.963B	$2.256B	+31%; 5.0% of bookings vs 4.5%
Non-GAAP operating income	$2.304B	$1.675B	+38%; 3.9% of bookings vs 3.4%
Non-GAAP EPS	$0.88	$0.65	+35%; high end of prior company guide
GAAP net income / diluted EPS	$0.512B / $0.25	$6.626B / $3.11	YoY decline mostly below-the-line distortion
FCF	$2.535B	$2.230B	+14% quarterly; $10.4B LTM

Quality-of-earnings bridge: Q3 2025 GAAP income contained a **$4.9B tax-valuation benefit** and **$1.5B pretax investment revaluation gain**, while Q3 2026 incurred a **$476M pretax revaluation loss**. Compare

> GAAP operating income, non-GAAP operating income, bookings, and FCF before drawing conclusions from the 92% GAAP EPS decline. Non-GAAP earnings exclude adjustments and are not a replacement for cash economics. [S1]

Street comparison carries vendor risk: FactSet as relayed by MT Newswires gave Q3 EPS consensus near $0.86 and revenue $14.66B (modest beats), while Benzinga's table indicated $0.91 (miss). We retain each dated source instead of mixing the estimates or claiming an undisputed beat. [S9]

03 / Business drivers and competitive position

Mobility: profitability strong, supply weaker

Bookings **$29.512B, +17% CC**. Segment operating income **$2.362B, +27%**, roughly **8.0% of bookings**. Fuel costs and driver constraints affected certain international markets; management reported initial October improvement. The crucial issue is whether incentives restore supply without eroding contribution margins. [S1] [S2] [S3]

Delivery: broadened commerce engine

Bookings **$28.539B, +23% CC**. Segment operating income **$1.057B, +30%**. Grocery/retail was discussed at approximately **$15B annual run-rate**, growing **~40%**, while membership reached **~55M Uber One members**. Better selection, frequency and promotion funding create multiple monetization paths. [S1] [S2]

Freight and business mix. Freight bookings grew 35% to $1.768B but the segment remained operating-loss-making (~$33M). Reported Mobility revenue declined 2% despite bookings growth, largely reflecting changes in transaction/accounting presentation rather than equivalent demand deterioration; evaluate bookings, segment margins and non-GAAP operating income together. [S1] [S3]

Competitive context: Scale and hybrid fleet density underpin Uber's marketplace moat, but AV fleet owners can distribute through multiple apps or build direct channels. DoorDash/Instacart consolidation, if completed, could increase Delivery competition despite Uber's greater cross-platform reach. Statements about future outcomes are scenarios, not established facts. [S2] [S11]

04 / Outlook, estimate revisions, and Q4 bar

Q4 Gross Bookings guide	Q4 non-GAAP EPS guide	Q4 adjusted EBITDA guide	Company Q4 implied EPS growth
$63.25–65.25B	**$0.95–0.99**	**$3.13–3.23B**	**~37%**
18–22% YoY CC	34–39% YoY	Mid $3.18B	At guidance midpoint

Bookings midpoint **$64.25B** was close to the FactSet/MT Newswires $64.26B consensus. For Q4 adjusted EPS, Reuters cited **$1.06** as its analyst bar (therefore **~8.5% below** that estimate at $0.97 midpoint), while MT Newswires/ FactSet cited **$0.97** (approximately in line). These are inconsistent third-party consensus snapshots; they should not be blended or presented as one settled forecast. [S1] [S8] [S9]

> **Critical interpretive point:** A fast-growing company can report a good quarter and still disappoint high-end growth expectations. Monitoring next-quarter supply investments and fresh consensus revisions matters more than inferring a durable re-rating from a single trading day.

Market reaction: The shares traded near **$71.92** at 11:52 a.m. ET on Nov. 4, up roughly 8% intraday vs Nov. 3 close of $66.60. This is not the final day's close or a guaranteed executable quote. The re-rating reduces the discount versus last week's $64–66 trading range. [S7] [S11]

05 / Earnings-call debate map and management credibility

Question and source	Management response / analyst interpretation	Falsifier
Eric Sheridan, Goldman Sachs AV financing / return structure	CFO Balaji Krishnamurthy pointed to a Santander-backed fleet-financing template and indicated that scaling fleet ownership should be financed primarily by third parties. **Interpretation:** capital-light ambition is credible but not yet contracted at scale. [S2]	Uber starts carrying material permanent vehicle capital and fixed-return guarantees.
Nikhil Devnani, Bernstein Mobility supply pressure	Management described both seasonal and year-over-year driver constraints, with improving October supply. **Interpretation:** recoverable, but incentives may weigh on margins. [S2]	Mobility bookings remain in mid-teens or weaker while unit margins fall.
Brian Nowak, Morgan Stanley Grocery economics / dark stores	CEO said grocery/retail reached roughly a $15B run-rate; dark stores could selectively complement merchant-led fulfillment, particularly with Delivery Hero capabilities. **Interpretation:** upside, but more capital intensity. [S2]	Selection growth requires broad inventory ownership or persistent subsidies.
Shweta Kajuria, Wolfe AV utilization / capital allocation	Management argued hybrid distribution has materially better AV utilization than certain standalone deployments, citing illustrative trip/day comparisons. **Interpretation:** possible structural advantage, not independently audited unit economics. [S2]	Partner utilization converges and platform fees prove difficult to sustain.
Mark Mahaney, Evercore Mobility 8% segment operating margin	CFO did not indicate a structural change to the profit trajectory despite Q4 supply investment. **Interpretation:** margin preservation is the next observable proof point. [S2]	Supply spending reverses operating leverage over multiple quarters.

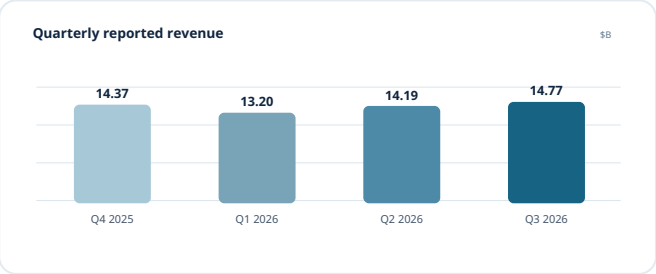
> **AV milestone quality:** Management's roughly 700 end-2026 / 2,000+ end-2027 fleet targets are concrete operational metrics. They are **not proof** that AV take rates, unit economics, asset financing, and partner exclusivity will produce attractive long-term Uber equity returns. We assign no standalone AV terminal premium in the base DCF. [S1] [S2]

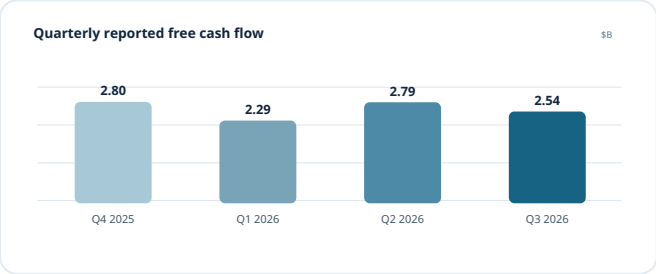
06 / Balance sheet, repurchases and capital discipline

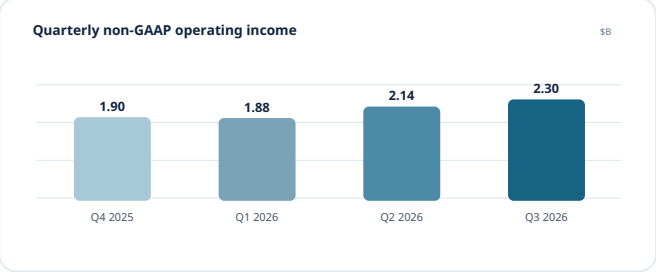
Capital item	Value / comparison	Investor read-through
Cash + unrestricted short-term investments, Sept. 30	$10.068B	Material liquidity buffer; excludes restricted assets
Long-term debt, net of current portion	$15.664B	Up from $10.521B at Dec. 2025; financing mix deserves monitoring
Simple debt less unrestricted cash	~$5.60B	Illustrative, not a comprehensive leverage definition
Q3 stock repurchases	$0.750B	9M 2026 buybacks $4.279B; offsets dilution
Q3 stock-based compensation	$0.591B	Noncash SBC contributes to FCF add-back; economically dilutive
Q3 operating cash flow / capex	$2.639B / $0.104B	FCF $2.535B; capex light but AV commitments can sit elsewhere
TTM adjusted EBITDA (approx.)	$10.76B	Simple debt less cash / EBITDA ~0.52x; no lease/guarantee adjustment

Headroom does not erase acquisition and fleet-financing risks. Insurance reserves, equity-investment marks, non-controlling interests, restricted balances, and potential third-party guarantees can affect look-through economics. Share repurchases should be evaluated **net of share-based compensation** and organic reinvestment needs. [S1] [S2]

07 / Financial trajectory: four-quarter history









Quarterly figures in $B; Q4 2025 rounded to one decimal as published; Q1–Q3 2026 source releases precise to $M. Net income contains large tax and equity revaluation effects and is not used as the base valuation driver. Sources: [S1] [S4] [S5] [S6].

Growth / unit economics	Q1 2026	Q2 2026	Q3 2026	Conclusion
Bookings YoY constant currency	21%	22%	20%	High, slightly moderating
Trips growth	20%	18%	16%	Engagement growing but decelerating
Non-GAAP operating income growth	42%	40%	38%	Positive leverage, slowly normalizing
Non-GAAP EPS	$0.72	$0.81	$0.88	Sequential improvement

08 / Valuation and explicit equity-cash-flow DCF

As of **Nov. 4, 11:52 a.m. ET**, the reference share price was **$71.92** and public-market data showed approximately **$146.9B market capitalization**, **~2.04B shares outstanding**, and **16.7x provider forward P/E**. These figures will move intraday. [S7]

Measure	Updated reference	Definition and caution
Forward P/E	~16.7x	Provider-reported; forecast basis may change following Q3
Trailing equity price / FCF	~14.1x	$146.9B / $10.4B; not GAAP earnings
FCF yield	~7.1%	$10.4B / $146.9B
Approx. enterprise value / TTM adjusted EBITDA	~14.2x	~$152.5B EV / ~$10.76B TTM adjusted EBITDA; simplified balance-sheet bridge
PEG	Not decision-grade	Forward earnings estimates and multi-year growth basis not stable across providers; do not score security from a point PEG
Historical valuation comparison	roughly unchanged	Oct. 19 thesis: approx. 17.0x forward P/E and 14.1x P/FCF, with different as-of earnings data

Equity-FCF DCF, five explicit years + terminal value

Model: FCFE proxy = company-reported cash from operations less capex, already after financing interest and including share-based-compensation add-back. Discount directly to **equity** using cost of equity; **do not subtract net debt a second time**. We haircut reported $10.4B LTM FCF to normalized $10.0B in the base case to reflect funding, SBC, and quality uncertainty. Initial share count ~2.04B held flat; upside from buybacks is not presumed. This is an illustrative judgmental model, not company guidance.

Scenario	Normalized FCF	Years 1–5 FCF growth	Discount rate	Terminal growth	DCF / share
Bear	$8.5B	4%	12.5%	2.5%	**$45**
Base	$10.0B	12%	11.0%	3.5%	**$96**
Bull	$10.5B	16%	10.0%	4.0%	**$147**

Base DCF: $96/share

Implied upside from reference $71.92: **+33%**. Confidence moderate: terminal value and sustainable capital commitment dominate.

Reverse DCF

At $71.92, with a $10.0B normalized FCF starting point, 11.0% cost of equity and 3.5% terminal growth, the market price implies roughly **5.0% annual FCF growth over five years**. Low implied growth is favorable only if the cash flow is truly distributable after strategic needs.

DCF formula: Equity value = Σ [FCF_0·(1+g)^t/(1+r)^t] for t=1…5 + [FCF_5·(1+g_terminal)/(r−g_terminal)]/(1+r)^5; per-share = total equity value / 2.04B. Terminal-growth and cost-of-equity assumptions are analyst inputs, not reported values. Sensitivity is material: at fixed base FCF and 12% five-year growth, moving cost of equity from 11.0% to 12.0% reduces value substantially. [S1] [S7]

Valuation against alternatives

DoorDash (DASH) has a more delivery-weighted model, while Lyft (LYFT) has a narrower mobility footprint, making headline peer EV/revenue or P/E comps unreliable without consistent accounting, segment and EBITDA adjustments. This report does **not** invent fresh comparable-company multiples; the most useful corroboration is the change in Uber's own EV/EBITDA, FCF yield and normalized earnings after Q3.

09 / Bull, base and bear: skew and assumptions

BEAR · 25% ANALYTICAL WEIGHT

$45

Potential return vs $71.92: -37%

Mobility supply and AV costs constrain FCF, delivery normalizes, higher cost of capital.

BASE · 50% ANALYTICAL WEIGHT

$96

Potential return vs $71.92: +33%

High-teens bookings growth gradually monetizes; FCF compounds below earnings growth.

BULL · 25% ANALYTICAL WEIGHT

$147

Potential return vs $71.92: +104%

Cross-platform engagement and scaled autonomous distribution deepen cash compounding.

Analytical weighted value: approximately **$96**/share (25% bear / 50% base / 25% bull). The probabilities are subjective and **not** a market-implied probability distribution. The bear case assumes a meaningful haircut to reported FCF and costlier capital; a severe regulatory or structural AV-bypass shock can create further downside beyond this case.

Reverse test. FCF does not need to compound at 20% for today's roughly $72 price to work under the illustrated DCF, but it **does** need to remain investable cash. If fleet guarantees, acquisitions or subsidies reclassify today's FCF as reinvestment funding, both the reverse DCF comfort and valuation margin of safety deteriorate quickly.

10 / Portfolio fit and preferred entry discipline

Canonical source: Repository manifest currently designates `retirement-portfolio-67.xlsx` dated Nov. 2, SHA-256 `e1154d32…519b303ca`. The attached workbook is **not** available in this workspace for independent byte-level checksum validation. Its repository holdings derivative, which claims the same workbook checksum, reports **97 UBER shares** and cost basis **$6,697.18**. We do not calculate authoritative allocation weight, P&L, or sized purchase orders from this unverifiable original. Prior older workbooks are not substituted. [S10]

Share price	Research stance	Conditions
Below $65	**Preferred opportunity / stronger add candidate**	Only if Mobility profit trend and FCF thesis remain intact; size subject to CIO and exposure limits.
$65–72	**Staged Add**	Current price neighborhood; tolerate price volatility, no leverage/fleet surprise.
$72–80	Hold / selective pullback only	Wait for Q4 supply proof or additional margin of safety.
$80–95	Hold / reassess upside	FCF may justify value, but bear-case asymmetry less attractive.
Above $95	Re-underwrite before incremental capital	Requires upward revisions, verified AV returns, or new FCF evidence.

Portfolio concentration also depends on the rest of the canonical book, growth-factor overlap with other long-duration holdings, and cash needs. Without verified v67 workbook bytes, **Portfolio Fit remains provisional** even though the standalone security looks attractive. The research stance does not update CIO-controlled position recommendations.

11 / Checkpoints, risks and thesis-break triggers

Strongest contrary case

- Mobility demand is healthy but driver availability becomes structurally expensive.
- Delivery's topline acceleration has poor incremental returns when incentives and courier costs normalize.
- Regulatory, labor, insurance and geopolitical shocks reduce platform take rates.
- AV owners bypass or multihome away from Uber; Uber must finance more assets to preserve distribution.
- Cash-generative legacy model overstates freely distributable equity FCF after fleet, acquisition and stock-based-compensation costs.

margins, net share-count trend.

5. **Acquisition gates:** Delivery Hero/ezCater closing, financing details, cash returns and goodwill/asset intensity.

> **Proposed thesis-break conditions for CIO review:** (1) bookings growth under 15% for two quarters without a transitory explanation; (2) recurring normalized equity FCF below ~$8B; (3) sustained Mobility margin compression tied to higher driver-supply costs; or (4) Uber materially absorbs AV fleet ownership/guarantees without evidence of attractive after-capital returns. These are research risk gates, not an authoritative status change.

Research conclusion: Remain constructive. Q3 reinforced Uber's platform, cash generation and operating leverage. Maintain **Staged Add / 8 out of 10 research conviction** around $65–72 with more compelling opportunity below $65. Do not equate a positive earnings reaction with solved AV economics; preserving capital discipline is essential to the long-term thesis.

Open questions: Exact organic delivery vs acquired contribution; timing and economics of Delivery Hero and other acquisitions; whether AV funding is true non-recourse third-party debt or includes contingent Uber support; detailed net-share repurchase effects; fresh and reconciled 2027 Street EPS/FCF estimates; exact v67 holdings-weight calculation after checksum verification.

12 / Evidence ledger, conventions and limitations

1. **S1.** Uber Q3 2026 earnings release and unaudited financials (SEC 8-K, Nov. 4)
2. **S2.** Uber Q3 2026 earnings-call transcript (Benzinga, Nov. 4; automated-transcript caveat)
3. **S3.** Uber Q3 2026 prepared remarks (company-distributed text; MarketScreener, Nov. 4)
4. **S4.** Uber Q2 2026 earnings release (Aug. 5)
5. **S5.** Uber Q1 2026 earnings release (SEC, May 6)
6. **S6.** Uber Q4 2025 earnings release (Feb. 4)
7. **S7.** UBER intraday quote, market cap and forward P/E (Stock Analysis, Nov. 4 at 11:52 a.m. ET)
8. **S8.** Market expectations for Q3/Q4 (Reuters, Nov. 4; consensus vendor variation noted)
9. **S9.** Alternative consensus source (MT Newswires/FactSet, Nov. 4)
10. **S10.** Research state (private repository, current default branch): UBER thesis registry and portfolio manifest (read Nov. 4)
11. **S11.** Q3 market reaction and business review (Barron's, Nov. 4)

Evidence controls. Company SEC release is the authority for reported GAAP/non-GAAP figures and guidance; transcripts support management explanations and Q&A. Price source is a dated intraday snapshot rather than official closing price. Consensus vendors differ and are shown separately. DCF, scenario weights, preferred entry ranges, ratings and reverse DCF are analyst-created estimates. Portfolio holdings references are from a repository-derived v67 snapshot, not independently verified original workbook bytes.

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